

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 22-23

**MARINE TRANSPORT LOGISTICS, INC.
COMPLAINANT
v.
CMA CGM (AMERICA) LLC
RESPONDENT**

RESPONDENT’S MOTION TO DISMISS

Respondent CMA CGM (America) LLC (“CCA”), by its undersigned attorney, moves to dismiss the Complaint filed by Marine Transport Logistics, Inc. (“MTL”) on the following grounds:

- 1) The Complaint improperly alleges that the Federal Maritime Commission (“FMC”) has subject matter jurisdiction over claims in the above-captioned matter based on 46 U.S.C.S. 30701, which is a citation to the U.S. Carriage of Goods by Sea Act (“COGSA”). COGSA does not confer subject matter jurisdiction to the FMC.
- 2) The Complaint improperly alleges that the FMC has personal or subject matter jurisdiction over claims in the above-captioned matter based on allegations that CCA is Vessel Operating Common Carrier (“VOCC”), which it is not.
- 3) The Complaint fails to meet the minimum pleading standards set forth in *Bell Atlantic Corp. v. Twombly*, 50 U.S. 544, 570 (2007), given its failure to set forth sufficient factual allegations to state a claim for relief.
- 4) The Complaint raises contract law disputes, rather than colorable Shipping Act claims, and thus should be dismissed pursuant to 46 U.S.C. § 40502(f).
- 5) The Complaint alleges violation of 46 U.S.C. § 41104(c), but fails to set forth allegations of any normal, customary, and continuous practice as required by the FMC’s interpretative rule issued December 12, 2018 in FMC Docket 18-06, RIN 3072-AC71.

CCA’s Motion to Dismiss is dispositive, and therefore subject to FMC Rules 69(g) and 70.

46 C.F.R. §§ 502.69(g) and 502.70.¹ For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss incorporated below, Respondent CCA moves to dismiss the Formal Verified Complaint in this matter served September 7, 2022 (“Complaint”).

MEMORANDUM IN SUPPORT OF MOTION TO DISMISS

The FMC has neither personal jurisdiction over CCA nor subject matter jurisdiction over MTL’s claims against CCA. Furthermore, MTL’s Complaint fails to allege facts that support its claim under 46 U.S.C. 41102(c) that CCA failed to establish and enforce just and reasonable regulations and practices. For these reasons this Motion to Dismiss should be granted.

STANDARDS FOR MOTIONS TO DISMISS

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well established that litigants before the FMC may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to FMC proceedings pursuant to 46 C.F.R. § 502.12. See, e.g., *YSN Imports Inc. v. Oberlander*, 2021 FMC LEXIS 104 at *2-3 (ALJ Order, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 2018 FMC LEXIS 45 (ALJ Order 2018). As the Presiding Officer explained in *YSN Imports*, “the ‘Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.’ *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020).” *YSN Imports* at *3.

The standards for consideration of a motion to dismiss differ, depending on whether it is brought for failure to state a claim [12(b)(6)] or for lack of personal/subject matter jurisdiction

¹ We note that Rule 70(a) states that a dispositive motion must include, inter alia, “a statement of material facts with exhibits as appropriate.” 46 C.F.R. § 502.70(a). CCA assumes that the qualifier “as appropriate” means that a motion to dismiss (other than for jurisdiction) need not contain such a statement, as it is premised on acceptance of all well-pleaded allegations, and introduction of outside facts is not permitted without a decision by the Presiding Officer to convert the motion into a motion for summary judgment.

3[12(b)(1)]. For a motion to dismiss for failure to state a claim, "'the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor.' *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC 2015))." *YSN Imports* at * 3. This does not mean, however, that the Presiding Officer is required to credit everything said in the Complaint. Rather, as she has elsewhere explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is ***plausible on its face***." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). . . . *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC 2011). "***A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'***" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

YSN Imports at *3 (emphases added)

"Nor does a complaint suffice if it 'tenders 'naked allegation[s]' devoid of 'further factual enhancement.'" *Iqbal* at 677 (quoting *Twombly*).

The requirement of assuming that all well-pleaded allegations are true is not necessarily applicable to claims for lack of personal or subject matter jurisdiction pursuant to Rule 12(b)(1). In that case, respondent has a choice of making a facial attack on jurisdiction – in which case well-pleaded allegations are assumed true – or a factual attack, in which such allegations in the complaint must be supported by evidence:

With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. A factual attack challenges "the existence of subject matter jurisdiction in fact,

irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. . . . *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).

Carlstar Group LLC v. UTI United States, Inc., 2018 FMC LEXIS 45 (ALJ Order 2018) (emphasis added).²

Or, as the Presiding Officer has more recently explained:

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if the court lacks subject matter jurisdiction. A Rule 12(b)(1) motion "may assert either a factual attack or a facial attack to jurisdiction." *DNB Exports*, 2011 FMC LEXIS 26, *7 (citations omitted). A facial attack challenges the sufficiency of the allegations in the complaint while a factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." *Id.* "[T]he plaintiff bears the burden of establishing that the court has jurisdiction." *Grand Lodge of Fraternal Order of Police v. Ashcroft*, 185 F. Supp. 2d 9, 13 (D.D.C. 2001); see also *DNB Exports*, 2011 FMC LEXIS 26, *9. *Dukart v. Ocean Star International Inc.*, 2020 FMC LEXIS 134 (ALJ Order 2020).

ARGUMENT REGARDING CCA

1. Personal Jurisdiction. The FMC's regulatory jurisdiction extends only to certain types of entities (often referred to as "regulated entities") – those are "Vessel Operating Common Carriers,"("VOCC") "Marine Terminal Operators," "Non-Vessel-Operating Common Carriers,"("NVOCC") and "Ocean Freight Forwarders." There is no suggestion in the Complaint that CCA is an NVOCC, Marine Terminal Operator, or Ocean Freight Forwarder, and indeed, CCA is none of those. Personal jurisdiction over CCA must thus be founded, if at all, on a claim that CCA is a VOCC as alleged in Paragraph 3 of the Complaint.

The Complaint alleges incorrectly that CCA is a VOCC without so much as supporting this

² See, e.g., *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2017 FMC LEXIS 4 (ALJ 2017).

specific claim. In fact, CCA acts as agent for CMA CGM S.A., which is a VOCC. Nowhere in the Complaint is CMA CGM S.A. named as a party. Because CCA is not one of the regulated entities under which the FMC has regulatory jurisdiction, the Complaint fails to establish personal jurisdiction and must be dismissed even under facial analysis.

The Complaint merely “offers 'labels and conclusions'” and is devoid of facts which do nothing more than tender naked allegations. *Iqbal* at 678 This, without more, is insufficient to constitute an allegation entitled to deference on a Motion to Dismiss. A VOCC is a “common carrier” that operates the vessels by which transportation is provided. To be a common carrier, an entity must: (i) hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation; (ii) assume responsibility for the transportation of origin to destination, and (iii) use for all or part of the transportation a vessel operating on the high seas. 46 U.S.C. § 40102(18).

CCA is not a common carrier and MTL has not alleged any facts that, if true, would establish such. Rather, CCA is an agent for CMA CGM S.A. CCA does not hold itself out to the public to provide transportation of any sort, much less between the United States and a foreign country; nor do shippers pay ocean freight and other charges to the account of CCA. CCA takes no responsibility for the cargo; that again, is CMA CGM S.A. The distinction between CMA CGM S.A. and CCA is recognized by the FMC in its list of VOCC tariffs, where CMA CGM S.A. is listed as an ocean common carrier, but CCA is not.³ Finally, CCA does not operate any vessels, and so could not be an ocean common carrier even if it were a common carrier (which it is not).

As noted above, there is nothing in the Complaint to challenge the verified fact that CCA

³ See, FMC VOCC list available at <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>.

is not an ocean common carrier. There is simply no basis on which MTL can profess that it has “knowledge, information, and belief formed after reasonable inquiry,” that CCA is an ocean common carrier. See Rule 6(a), 46 C.F.R. § 502.6(a).

2. Subject Matter Jurisdiction. Because CCA is not a regulated entity, the FMC also lacks subject matter jurisdiction. The only provision of the Shipping Act that the Complaint claims may have been violated is 46 U.S.C. § 41102(c). That provision applies by its terms only to a “common carrier, marine terminal operator, or ocean transportation intermediary.” *Id.* And as demonstrated above, CCA is not one of those regulated entities. For both of the above reasons, CCA must therefore be dismissed from this proceeding.

3. MTL Fails to State a Claim For Unreasonable Practices. MTL’s Complaint fails to allege facts that support its claim under 46 U.S.C. 41102(c) that CCA failed to establish and enforce just and reasonable regulations and practices related to receiving, handling, storing, or delivering property. This failure is especially clear considering the Interpretive Rule issued by the FMC on December 12, 2018 related to unjust and unreasonable practices. “Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo.” The FMC’s Final Interpretive Rule unambiguously requires that a regulation or practice be engaged in on a “normal, customary, and continuous basis” – as well as a finding that the practice or regulation is unreasonable. See 46 C.F.R. Section 545.4. “This interpretive rule clarifies that in order to violate § 41102(c), a regulated entity must engage in an unjust or unreasonable practice or regulation on a normal, customary, and continuous basis.” A claimant cannot successfully submit a claim for reparations under 46 U.S.C. 41102(c) without proving both these elements. In this case, MTL’s Complaint falls short on both points.

MTL alleges that CCA violated 46 U.S.C. 41102(c) by failing to establish, observe and

enforce just and reasonable regulations and practices related to certain shipments at issue in this action. MTL fails to establish a cause of action against CCA for violations under 46 U.S.C. 41102(c) because its claims relate to CCA's alleged actions or omissions related to certain shipments, and not to practices that CCA engages in on a normal, customary and continuous basis. The very nature of MTL's claims, which clearly all relate to alleged acts and omissions relate certain shipments, prevent them from being viable claims under 46 U.S.C. 41102(c).

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons Respondent CCA respectfully requests that the Commission dismiss the Complaint for both lack of personal/subject matter jurisdiction, and for failure to state a claim on which relief may be granted.

Dated: October 3, 2022

Respectfully submitted,

/s/ William H. Campbell

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**ATTORNEYS FOR RESPONDENT CMA
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CERTIFICATE OF SERVICE

I certify that on the 3 day of October, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record.

/s/William H. Campbell
William H. Campbell